

Harbourne Retail Group

Capital project appraisal, fifteen urban convenience stores

Financial model. Prepared by the Corporate Finance Division. October 2026.

HOW THE MODEL WORKS

Inputs sit on the Assumptions sheet only. Change a blue cell and every sheet updates.

Three scenarios run side by side on their own sheets. They share one layout, so a row means the same thing on each.

Year 0 is the point the stores are fitted out. Years 1 to 10 are the trading years of the leases. Cash flows fall at each year end.

Costs and outflows are negative. Amounts are in £'000 unless a label says otherwise.

Tax follows the capital allowance rules, not accounting depreciation. Losses in the early years are relieved against group profit.

Sales taken from existing stores are deducted, so the cash flows are the extra cash the group earns, not the stores' own takings.

The Sensitivity sheet re-runs the Base Case many times through the Sens Engine sheet. The Checks sheet tests the maths.

COLOUR CODE

Blue text on cream, an input that can be changed

Black text, a formula on the same sheet

Green text, a link to another sheet

HEADLINE RESULTS (LIVE)

	Base	Upside	Downside
NPV (£'000)	1,951	10,032	(3,151)
IRR	13.7%	30.7%	(0.2%)
Payback	5.6 yrs	3.4 yrs	Not within 10 years
Model checks	ALL CHECKS PASS		

CONTENTS

Dashboard	Scenario comparison and charts
Assumptions	All inputs, with the basis for each
Base Case	Full model

[Upside Case](#)

[Downside Case](#)

[Sensitivity](#)

[Sens Engine](#)

[Checks](#)

Full model

Full model

Tornado, discount rate, grid and break-even tables

Workings behind the sensitivity tables

Integrity tests

Tesco (original company)

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Dashboard. Every figure on this sheet is a link to the model sheets.

SCENARIO COMPARISON			
	Base Case	Upside Case	Downside Case
Initial outlay (£'000)	7,350	6,900	7,710
Net present value (£'000)	1,951	10,032	(3,151)
Internal rate of return	13.7%	30.7%	(0.2%)
Modified IRR	11.6%	19.2%	3.4%
Profitability index	1.27x	2.45x	0.59x
Payback period	5.6 yrs	3.4 yrs	Not within 10 years
Discounted payback period	8.0 yrs	4.1 yrs	Not within 10 years
Peak funding requirement (£'000)	7,350	6,900	7,710
Ten year cumulative free cash flow (£'000)	8,209	21,392	(84)
NPV per store (£'000)	130	669	(210)
Hurdle rate	8.98%	8.98%	8.98%
Year 3 incremental EBITDA margin	5.8%	8.6%	3.9%
Year 3 revenue (£'000)	37,454	39,784	35,794

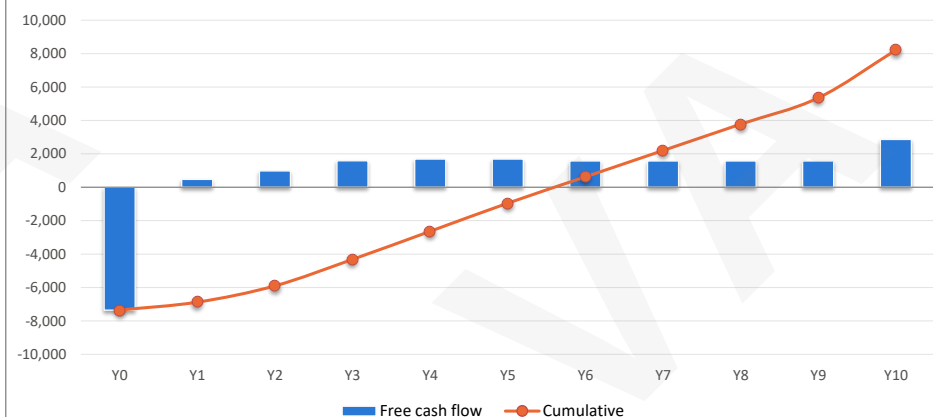
PROBABILITY WEIGHTED VIEW			
Judgemental probability	50%	25%	25%
Expected NPV (£'000)	2,696		

Probabilities add to 100%

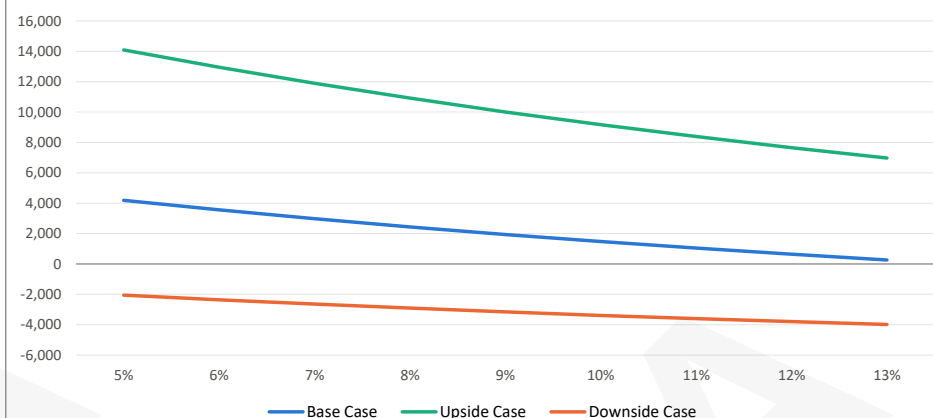
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PHASED COMMITMENT (BASE CASE)	
Stores in Phase 1	5
Phase 1 commitment (£'000)	2,450
Stores in Phase 2	10
Phase 2 commitment (£'000)	4,900
Share of outlay committed in Phase 1	33.3%

Free cash flow by year, Base Case (£'000)



NPV against discount rate (£'000)



NPV by scenario (£'000)

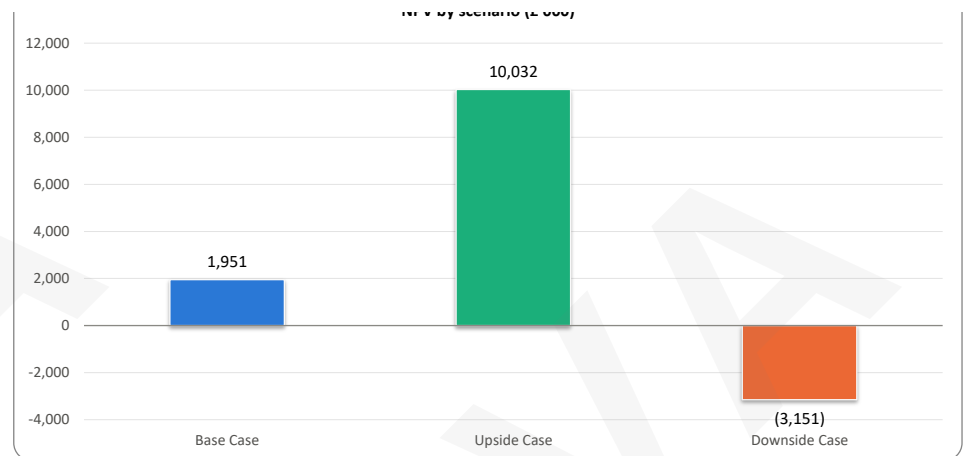


CHART DATA

Year	Y0	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Free cash flow, Base Case	(7,350)	473	975	1,585	1,680	1,684	1,575	1,576	1,576	1,574	2,860
Cumulative, Base Case	(7,350)	(6,877)	(5,902)	(4,317)	(2,637)	(952)	623	2,199	3,775	5,349	8,209
Free cash flow, Upside Case	(6,900)	1,211	1,954	2,530	2,704	2,823	2,859	2,986	3,116	3,251	4,858
Free cash flow, Downside Case	(7,710)	71	340	988	1,041	972	774	696	614	527	1,603

Tesco (original company)

Tesco (original company)

Harbourne Retail Group

Capital project appraisal, input assumptions. Blue cells on a cream fill are inputs. Black cells are formulas.

Input	Base Case	Upside Case	Downside Case	Unit	Basis and source
PROGRAMME					
Number of new stores	15	15	15	stores	Management plan. Fifteen sites in dense urban catchments across England.
Capital expenditure per store	450	425	470	£'000	Shopfit, refrigeration, shelving, tills, IT, professional fees and lease premium. Management estimate, flexed in the sensitivity tables.
Pre-opening costs per store	40	35	44	£'000	Recruitment, training, launch marketing and opening stock. Expensed in the opening year.
Total capital expenditure	6,750	6,375	7,050	£'000	
Total pre-opening costs	600	525	660	£'000	
Total initial outlay	7,350	6,900	7,710	£'000	
Lease term and appraisal horizon	10	10	10	years	Ten year leases. Depreciation, tax relief and the cash flow horizon all match the lease. The model has ten yearly columns, so this should stay at 10.
TAX					
Corporation Tax rate	25.0%	25.0%	25.0%	%	Main rate of Corporation Tax (GOV.UK, n.d.-b). The group is profitable, so project losses are assumed to be relieved against group profits.
Capex qualifying for full expensing	60.0%	60.0%	60.0%	%	Share of capex that is plant and machinery, such as refrigeration, shelving and IT (GOV.UK, n.d.-a). Shopfit and structural work does not qualify. Tax advisers should confirm the split.
REVENUE					
Mature sales per store (first year prices)	2,400	2,500	2,330	£'000	Illustrative management estimate for a mature urban store. It should be checked against trading data from comparable existing stores.
Year 1 sales ramp (share of mature sales)	75.0%	80.0%	72.0%	%	Stores open on a rolling basis through Year 1, so the average store trades for part of the year and is still building its customer base.
Year 2 sales ramp (share of mature sales)	92.0%	95.0%	89.0%	%	
Annual like-for-like sales growth (from Year 2)	2.0%	3.0%	1.2%	%	New stores usually take two to three years to reach maturity. IGD (2025) forecasts channel growth of 2.7% a year to 2030, and that includes new stores. Like-for-like growth is set below it. Food inflation was 1.3% in August 2026 (ONS, 2026).
Sales taken from existing stores (share of new store sales)	12.0%	8.0%	14.0%	%	Pancras et al. (2012) found that about 13% of a new store's sales came from sister stores in the chain they studied. The figure falls as stores sit further apart. The group loses the gross profit on those sales.
OPERATING COSTS					
Cost of goods sold (share of sales)	71.5%	71.4%	71.7%	%	A gross margin of about 28.5%. Supplier terms are assumed to match the existing estate.
Full time equivalent staff per store	8.0	8.0	8.0	FTE	Covers roughly 16 trading hours a day over seven days plus stock handling.
Average hourly pay	13.40	13.30	13.50	£ per hour	The National Living Wage is £12.71 from April 2026 (GOV.UK, 2026a). The average is set above it to allow for supervisors and shift premiums.
Paid hours per FTE per year	1,950	1,950	1,950	hours	37.5 hours a week for 52 weeks.
Employer on-costs (share of pay)	18.0%	18.0%	18.0%	%	Employer National Insurance is 15% above £5,000 a year per employee (GOV.UK, 2026b). The rest covers pension and training.
Annual pay growth	3.5%	3.0%	3.8%	%	Wage floors have risen faster than prices in recent years. Base case assumes pay growth settles at 3.5%.
Rent per store (first year)	100	97	101	£'000	Urban high street rent. Management estimate. Held flat until the first rent review.
First rent review (year)	6	6	6	year	Upward only rent review after five years of trading.
Rent increase at review	10.0%	8.0%	11.0%	%	Applied once from the review year to the end of the lease.
Rateable value per store	50	50	50	£'000	Below the £51,000 threshold for the small business multiplier. Management estimate.
Business rates multiplier	0.382	0.382	0.382	£ per £	Small business retail, hospitality and leisure multiplier of 38.2p from April 2026 (Westminster City Council, 2026).
Energy, repairs and other occupancy per store	45	43	46	£'000	Management estimate. Refrigeration makes energy the largest part.
Annual inflation on rates and occupancy costs	2.5%	2.0%	2.8%	%	Set slightly above the Bank of England 2% target to allow for energy price risk.

Card fees, packaging and cash handling (share of sales)	0.80%	0.75%	0.85% %
Area management and distribution support (share of sales)	1.20%	1.10%	1.25% %

Management estimate.

Extra area managers and delivery drops needed to serve fifteen more stores. Management estimate.

WORKING CAPITAL

Net working capital (share of sales)	3.0%	3.0%	3.0% %
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Treated as a net investment, which is cautious because grocers usually buy on supplier credit. It is recovered when the leases end.

DISCOUNT RATE

Risk free rate (10 year gilt yield)	5.40%	5.40%	5.40% %
Equity beta	0.80	0.80	0.80 x
Mature market equity risk premium	4.20%	4.20%	4.20% %
UK specific risk allowance	0.60%	0.60%	0.60% %
Cost of equity (CAPM)	9.24%	9.24%	9.24% %
Credit spread over gilts	1.30%	1.30%	1.30% %
Cost of debt after tax	5.03%	5.03%	5.03% %
Debt share of capital	30.0%	30.0%	30.0% %
Weighted average cost of capital	7.98%	7.98%	7.98% %
Project risk premium	1.00%	1.00%	1.00% %
Hurdle rate used to discount cash flows	8.98%	8.98%	8.98% %

10 year gilt yield of 5.42% on 30 September 2026 (Trading Economics, 2026), rounded. Bank Rate was 3.75% (Bank of England, 2026).

Food retail is defensive, so beta is set below the market. Analyst judgement.

Implied premium of 4.23% at January 2026 (Damodaran, 2026), rounded.

Analyst judgement.

Risk free rate plus beta times the equity risk premium (Brealey et al., 2022).

Analyst judgement for an investment grade borrower.

Interest is tax deductible.

Analyst judgement.

New stores carry more execution risk than the average existing store, so a premium is added to the group cost of capital.

Tesco (original company)

Tesco (original company)

Harbourne Retail Group

Base Case. Fifteen urban convenience stores. £'000 unless stated. Costs and outflows are negative.

Year	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
REVENUE											
Stores trading	0	15	15	15	15	15	15	15	15	15	15
Sales ramp (share of mature sales)	0.0%	75.0%	92.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Like-for-like growth index	0.000	1.000	1.020	1.040	1.061	1.082	1.104	1.126	1.149	1.172	1.195
Mature sales per store	0	2,400	2,448	2,497	2,547	2,598	2,650	2,703	2,757	2,812	2,868
Revenue from new stores	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Memo, sales taken from existing stores	0	(3,240)	(4,054)	(4,495)	(4,584)	(4,676)	(4,770)	(4,865)	(4,962)	(5,062)	(5,163)
Memo, net new sales to the group	0	23,760	29,729	32,960	33,619	34,291	34,977	35,677	36,390	37,118	37,861
STORE OPERATING COSTS AND EBITDA											
Cost of goods sold	0	(19,305)	(24,154)	(26,780)	(27,315)	(27,862)	(28,419)	(28,987)	(29,567)	(30,159)	(30,762)
Gross profit	0	7,695	9,628	10,675	10,888	11,106	11,328	11,554	11,786	12,021	12,262
Staff costs	0	(3,700)	(3,830)	(3,964)	(4,102)	(4,246)	(4,394)	(4,548)	(4,707)	(4,872)	(5,043)
Rent	0	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,650)	(1,650)	(1,650)	(1,650)	(1,650)
Business rates	0	(287)	(294)	(301)	(309)	(316)	(324)	(332)	(341)	(349)	(358)
Energy, repairs and other occupancy	0	(675)	(692)	(709)	(727)	(745)	(764)	(783)	(802)	(822)	(843)
Card fees, packaging and cash handling	0	(216)	(270)	(300)	(306)	(312)	(318)	(324)	(331)	(337)	(344)
Area management and distribution support	0	(324)	(405)	(449)	(458)	(468)	(477)	(487)	(496)	(506)	(516)
Total operating costs	0	(6,702)	(6,991)	(7,223)	(7,402)	(7,587)	(7,927)	(8,124)	(8,327)	(8,537)	(8,754)
Store EBITDA	0	993	2,637	3,452	3,486	3,519	3,401	3,430	3,458	3,484	3,508
Less, gross profit lost at existing stores	0	(923)	(1,155)	(1,281)	(1,307)	(1,333)	(1,359)	(1,387)	(1,414)	(1,443)	(1,471)
Incremental EBITDA to the group	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Incremental EBITDA margin	0.0%	0.3%	4.4%	5.8%	5.7%	5.6%	5.1%	5.0%	4.9%	4.8%	4.7%
CAPITAL EXPENDITURE, DEPRECIATION AND TAX											
Capital expenditure	(6,750)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(600)	0	0	0	0	0	0	0	0	0	0
Accounting depreciation (straight line)	0	(675)	(675)	(675)	(675)	(675)	(675)	(675)	(675)	(675)	(675)
Incremental EBIT (accounting)	0	(1,205)	807	1,496	1,505	1,512	1,366	1,369	1,369	1,366	1,361
Capital allowances, full expensing	0	(4,050)	0	0	0	0	0	0	0	0	0
Capital allowances, remaining capex (straight line)	0	(270)	(270)	(270)	(270)	(270)	(270)	(270)	(270)	(270)	(270)
Pre-opening costs deducted for tax	0	(600)	0	0	0	0	0	0	0	0	0
Taxable profit or loss	0	(4,850)	1,212	1,901	1,910	1,917	1,771	1,774	1,774	1,771	1,766
Corporation Tax (paid) or group relief (received)	0	1,212	(303)	(475)	(477)	(479)	(443)	(443)	(443)	(443)	(442)
Year relies on group relief (1 = yes)	0	1	0	0	0	0	0	0	0	0	0
Accounting profit after tax	0	(904)	605	1,122	1,129	1,134	1,025	1,027	1,027	1,025	1,021
WORKING CAPITAL											

Net working capital balance	0	810	1,013	1,124	1,146	1,169	1,192	1,216	1,241	1,265	1,291
Increase in working capital	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	(25)
Working capital recovered at lease end	0	0	0	0	0	0	0	0	0	0	1,291

FREE CASH FLOW

Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,212	(303)	(475)	(477)	(479)	(443)	(443)	(443)	(443)	(442)
Capital expenditure	(6,750)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(600)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	473	975	1,585	1,680	1,684	1,575	1,576	1,576	1,574	2,860
Cumulative free cash flow	(7,350)	(6,877)	(5,902)	(4,317)	(2,637)	(952)	623	2,199	3,775	5,349	8,209
Discount factor	1.0000	0.9176	0.8421	0.7727	0.7091	0.6507	0.5971	0.5479	0.5028	0.4614	0.4234
Discounted free cash flow	(7,350)	434	821	1,225	1,191	1,096	940	864	792	726	1,211
Cumulative discounted free cash flow	(7,350)	(6,916)	(6,095)	(4,870)	(3,679)	(2,583)	(1,642)	(779)	14	740	1,951

INVESTMENT APPRAISAL

Discount rate (hurdle)	8.98%
Net present value (£'000)	1,951
Internal rate of return	13.7%
Modified internal rate of return	11.6%
Profitability index	1.27x
Payback period	5.6 yrs
Discounted payback period	8.0 yrs
Average accounting return on capex	12.2%
Peak funding requirement (£'000)	7,350
Ten year cumulative free cash flow (£'000)	8,209
NPV per store (£'000)	130
Initial outlay (£'000)	7,350

WORKINGS (payback helpers)

Payback helper	0.00	0.00	0.00	0.00	0.00	0.00	5.60	0.00	0.00	0.00	0.00
Discounted payback helper	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	7.98	0.00	0.00

Tesco (original company)

Tesco (original company)

Harbourne Retail Group

Upside Case. Fifteen urban convenience stores. £'000 unless stated. Costs and outflows are negative.

Year	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
REVENUE											
Stores trading	0	15	15	15	15	15	15	15	15	15	15
Sales ramp (share of mature sales)	0.0%	80.0%	95.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Like-for-like growth index	0.000	1.000	1.030	1.061	1.093	1.126	1.159	1.194	1.230	1.267	1.305
Mature sales per store	0	2,500	2,575	2,652	2,732	2,814	2,898	2,985	3,075	3,167	3,262
Revenue from new stores	0	30,000	36,694	39,784	40,977	42,207	43,473	44,777	46,120	47,504	48,929
Memo, sales taken from existing stores	0	(2,400)	(2,936)	(3,183)	(3,278)	(3,377)	(3,478)	(3,582)	(3,690)	(3,800)	(3,914)
Memo, net new sales to the group	0	27,600	33,758	36,601	37,699	38,830	39,995	41,195	42,431	43,704	45,015
STORE OPERATING COSTS AND EBITDA											
Cost of goods sold	0	(21,420)	(26,199)	(28,406)	(29,258)	(30,135)	(31,040)	(31,971)	(32,930)	(33,918)	(34,935)
Gross profit	0	8,580	10,494	11,378	11,719	12,071	12,433	12,806	13,190	13,586	13,994
Staff costs	0	(3,672)	(3,783)	(3,896)	(4,013)	(4,133)	(4,257)	(4,385)	(4,517)	(4,652)	(4,792)
Rent	0	(1,455)	(1,455)	(1,455)	(1,455)	(1,455)	(1,571)	(1,571)	(1,571)	(1,571)	(1,571)
Business rates	0	(287)	(292)	(298)	(304)	(310)	(316)	(323)	(329)	(336)	(342)
Energy, repairs and other occupancy	0	(645)	(658)	(671)	(684)	(698)	(712)	(726)	(741)	(756)	(771)
Card fees, packaging and cash handling	0	(225)	(275)	(298)	(307)	(317)	(326)	(336)	(346)	(356)	(367)
Area management and distribution support	0	(330)	(404)	(438)	(451)	(464)	(478)	(493)	(507)	(523)	(538)
Total operating costs	0	(6,614)	(6,867)	(7,056)	(7,215)	(7,377)	(7,661)	(7,834)	(8,011)	(8,194)	(8,381)
Store EBITDA	0	1,966	3,628	4,322	4,505	4,694	4,772	4,972	5,179	5,392	5,612
Less, gross profit lost at existing stores	0	(686)	(840)	(910)	(938)	(966)	(995)	(1,024)	(1,055)	(1,087)	(1,119)
Incremental EBITDA to the group	0	1,280	2,788	3,412	3,567	3,728	3,777	3,948	4,124	4,306	4,493
Incremental EBITDA margin	0.0%	4.3%	7.6%	8.6%	8.7%	8.8%	8.7%	8.8%	8.9%	9.1%	9.2%
CAPITAL EXPENDITURE, DEPRECIATION AND TAX											
Capital expenditure	(6,375)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(525)	0	0	0	0	0	0	0	0	0	0
Accounting depreciation (straight line)	0	(638)	(638)	(638)	(638)	(638)	(638)	(638)	(638)	(638)	(638)
Incremental EBIT (accounting)	0	117	2,151	2,774	2,930	3,090	3,140	3,310	3,486	3,668	3,855
Capital allowances, full expensing	0	(3,825)	0	0	0	0	0	0	0	0	0
Capital allowances, remaining capex (straight line)	0	(255)	(255)	(255)	(255)	(255)	(255)	(255)	(255)	(255)	(255)
Pre-opening costs deducted for tax	0	(525)	0	0	0	0	0	0	0	0	0
Taxable profit or loss	0	(3,325)	2,533	3,157	3,312	3,473	3,522	3,693	3,869	4,051	4,238
Corporation Tax (paid) or group relief (received)	0	831	(633)	(789)	(828)	(868)	(881)	(923)	(967)	(1,013)	(1,059)
Year relies on group relief (1 = yes)	0	1	0	0	0	0	0	0	0	0	0
Accounting profit after tax	0	88	1,613	2,081	2,197	2,318	2,355	2,483	2,615	2,751	2,891
WORKING CAPITAL											

Net working capital balance	0	900	1,101	1,194	1,229	1,266	1,304	1,343	1,384	1,425	1,468
Increase in working capital	0	(900)	(201)	(93)	(36)	(37)	(38)	(39)	(40)	(42)	(43)
Working capital recovered at lease end	0	0	0	0	0	0	0	0	0	0	1,468

FREE CASH FLOW

Incremental EBITDA	0	1,280	2,788	3,412	3,567	3,728	3,777	3,948	4,124	4,306	4,493
Corporation Tax	0	831	(633)	(789)	(828)	(868)	(881)	(923)	(967)	(1,013)	(1,059)
Capital expenditure	(6,375)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(525)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(900)	(201)	(93)	(36)	(37)	(38)	(39)	(40)	(42)	1,425
Free cash flow	(6,900)	1,211	1,954	2,530	2,704	2,823	2,859	2,986	3,116	3,251	4,858
Cumulative free cash flow	(6,900)	(5,689)	(3,735)	(1,205)	1,499	4,321	7,180	10,166	13,282	16,533	21,392
Discount factor	1.0000	0.9176	0.8421	0.7727	0.7091	0.6507	0.5971	0.5479	0.5028	0.4614	0.4234
Discounted free cash flow	(6,900)	1,111	1,646	1,955	1,917	1,837	1,707	1,636	1,567	1,500	2,057
Cumulative discounted free cash flow	(6,900)	(5,789)	(4,143)	(2,188)	(271)	1,565	3,272	4,908	6,475	7,975	10,032

INVESTMENT APPRAISAL

Discount rate (hurdle)	8.98%
Net present value (£'000)	10,032
Internal rate of return	30.7%
Modified internal rate of return	19.2%
Profitability index	2.45x
Payback period	3.4 yrs
Discounted payback period	4.1 yrs
Average accounting return on capex	33.6%
Peak funding requirement (£'000)	6,900
Ten year cumulative free cash flow (£'000)	21,392
NPV per store (£'000)	669
Initial outlay (£'000)	6,900

WORKINGS (payback helpers)

Payback helper	0.00	0.00	0.00	0.00	3.45	0.00	0.00	0.00	0.00	0.00	0.00
Discounted payback helper	0.00	0.00	0.00	0.00	0.00	4.15	0.00	0.00	0.00	0.00	0.00

Tesco (original company)

Tesco (original company)

Harbourne Retail Group

Downside Case. Fifteen urban convenience stores. £'000 unless stated. Costs and outflows are negative.

Year	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
REVENUE											
Stores trading	0	15	15	15	15	15	15	15	15	15	15
Sales ramp (share of mature sales)	0.0%	72.0%	89.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Like-for-like growth index	0.000	1.000	1.012	1.024	1.036	1.049	1.061	1.074	1.087	1.100	1.113
Mature sales per store	0	2,330	2,358	2,386	2,415	2,444	2,473	2,503	2,533	2,563	2,594
Revenue from new stores	0	25,164	31,479	35,794	36,223	36,658	37,098	37,543	37,994	38,450	38,911
Memo, sales taken from existing stores	0	(3,523)	(4,407)	(5,011)	(5,071)	(5,132)	(5,194)	(5,256)	(5,319)	(5,383)	(5,448)
Memo, net new sales to the group	0	21,641	27,072	30,783	31,152	31,526	31,904	32,287	32,675	33,067	33,463
STORE OPERATING COSTS AND EBITDA											
Cost of goods sold	0	(18,043)	(22,570)	(25,664)	(25,972)	(26,284)	(26,599)	(26,918)	(27,241)	(27,568)	(27,899)
Gross profit	0	7,121	8,908	10,130	10,251	10,374	10,499	10,625	10,752	10,881	11,012
Staff costs	0	(3,728)	(3,869)	(4,016)	(4,169)	(4,327)	(4,492)	(4,662)	(4,840)	(5,024)	(5,214)
Rent	0	(1,515)	(1,515)	(1,515)	(1,515)	(1,515)	(1,682)	(1,682)	(1,682)	(1,682)	(1,682)
Business rates	0	(287)	(295)	(303)	(311)	(320)	(329)	(338)	(348)	(357)	(367)
Energy, repairs and other occupancy	0	(690)	(709)	(729)	(750)	(771)	(792)	(814)	(837)	(861)	(885)
Card fees, packaging and cash handling	0	(214)	(268)	(304)	(308)	(312)	(315)	(319)	(323)	(327)	(331)
Area management and distribution support	0	(315)	(393)	(447)	(453)	(458)	(464)	(469)	(475)	(481)	(486)
Total operating costs	0	(6,748)	(7,049)	(7,315)	(7,505)	(7,703)	(8,074)	(8,285)	(8,504)	(8,731)	(8,965)
Store EBITDA	0	374	1,859	2,815	2,746	2,672	2,425	2,340	2,248	2,151	2,047
Less, gross profit lost at existing stores	0	(997)	(1,247)	(1,418)	(1,435)	(1,452)	(1,470)	(1,487)	(1,505)	(1,523)	(1,542)
Incremental EBITDA to the group	0	(623)	612	1,397	1,311	1,219	955	852	743	627	505
Incremental EBITDA margin	0.0%	(2.5%)	1.9%	3.9%	3.6%	3.3%	2.6%	2.3%	2.0%	1.6%	1.3%
CAPITAL EXPENDITURE, DEPRECIATION AND TAX											
Capital expenditure	(7,050)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(660)	0	0	0	0	0	0	0	0	0	0
Accounting depreciation (straight line)	0	(705)	(705)	(705)	(705)	(705)	(705)	(705)	(705)	(705)	(705)
Incremental EBIT (accounting)	0	(1,988)	(93)	692	606	514	250	147	38	(78)	(200)
Capital allowances, full expensing	0	(4,230)	0	0	0	0	0	0	0	0	0
Capital allowances, remaining capex (straight line)	0	(282)	(282)	(282)	(282)	(282)	(282)	(282)	(282)	(282)	(282)
Pre-opening costs deducted for tax	0	(660)	0	0	0	0	0	0	0	0	0
Taxable profit or loss	0	(5,795)	330	1,115	1,029	937	673	570	461	345	223
Corporation Tax (paid) or group relief (received)	0	1,449	(83)	(279)	(257)	(234)	(168)	(143)	(115)	(86)	(56)
Year relies on group relief (1 = yes)	0	1	0	0	0	0	0	0	0	0	0
Accounting profit after tax	0	(1,491)	(70)	519	454	386	188	110	28	(58)	(150)
WORKING CAPITAL											

Net working capital balance	0	755	944	1,074	1,087	1,100	1,113	1,126	1,140	1,153	1,167
Increase in working capital	0	(755)	(189)	(129)	(13)	(13)	(13)	(13)	(14)	(14)	(14)
Working capital recovered at lease end	0	0	0	0	0	0	0	0	0	0	1,167

FREE CASH FLOW

Incremental EBITDA	0	(623)	612	1,397	1,311	1,219	955	852	743	627	505
Corporation Tax	0	1,449	(83)	(279)	(257)	(234)	(168)	(143)	(115)	(86)	(56)
Capital expenditure	(7,050)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(660)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(755)	(189)	(129)	(13)	(13)	(13)	(13)	(14)	(14)	1,153
Free cash flow	(7,710)	71	340	988	1,041	972	774	696	614	527	1,603
Cumulative free cash flow	(7,710)	(7,639)	(7,299)	(6,311)	(5,270)	(4,298)	(3,524)	(2,828)	(2,214)	(1,687)	(84)
Discount factor	1.0000	0.9176	0.8421	0.7727	0.7091	0.6507	0.5971	0.5479	0.5028	0.4614	0.4234
Discounted free cash flow	(7,710)	65	286	764	738	632	462	382	309	243	679
Cumulative discounted free cash flow	(7,710)	(7,645)	(7,359)	(6,595)	(5,857)	(5,225)	(4,763)	(4,381)	(4,072)	(3,829)	(3,151)

INVESTMENT APPRAISAL

Discount rate (hurdle)	8.98%
Net present value (£'000)	(3,151)
Internal rate of return	(0.2%)
Modified internal rate of return	3.4%
Profitability index	0.59x
Payback period	not within 10 years
Discounted payback period	not within 10 years
Average accounting return on capex	(0.1%)
Peak funding requirement (£'000)	7,710
Ten year cumulative free cash flow (£'000)	(84)
NPV per store (£'000)	(210)
Initial outlay (£'000)	7,710

WORKINGS (payback helpers)

Payback helper	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Discounted payback helper	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Tesco (original company)

Tesco (original company)

Harbourne Retail Group

Sensitivity and break-even analysis on the Base Case. Flex values in blue can be changed and every table updates.

A. ONE AT A TIME SENSITIVITIES (NPV, £'000)								
Driver	Adverse flex	Favourable flex	Unit	NPV adverse	NPV favourable	Change adverse	Change favourable	Swing
Sales per store	-10.0%	+10.0%	% change	(2,132)	6,034	(4,083)	4,083	8,166
Sales taken from existing stores	+5.0%	-5.0%	points of new sales	(604)	4,505	(2,554)	2,554	5,109
Staff costs	+10.0%	-10.0%	% change	(91)	3,992	(2,041)	2,041	4,083
Like-for-like sales growth	-1.0%	+1.0%	points a year	337	3,646	(1,614)	1,695	3,308
Cost of goods sold	+1.0%	-1.0%	points of sales	373	3,528	(1,578)	1,578	3,155
Rent, rates and occupancy	+10.0%	-10.0%	% change	689	3,212	(1,261)	1,261	2,523
Year 1 and 2 sales ramp	-10.0%	+10.0%	points	859	2,936	(1,091)	986	2,077
Capex per store	+10.0%	-10.0%	% change	1,412	2,489	(539)	539	1,077
Base Case NPV			NPV	1,951				

B. NPV AGAINST DISCOUNT RATE (£'000)				
Discount rate	Base Case	Upside Case	Downside Case	
5%	4,189	14,090	(2,051)	
6%	3,561	12,950	(2,359)	
7%	2,979	11,895	(2,645)	
8%	2,440	10,917	(2,910)	
9%	1,939	10,010	(3,156)	
10%	1,474	9,168	(3,386)	
11%	1,041	8,384	(3,599)	
12%	637	7,654	(3,798)	
13%	261	6,974	(3,984)	
IRR (NPV is zero)	13.7%	30.7%	(0.2%)	

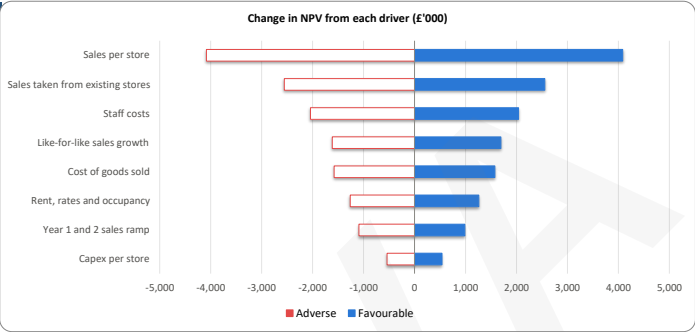
C. BASE CASE NPV, SALES PER STORE AGAINST CAPEX PER STORE (£'000)							
Capex down, sales across		Sales 2,160	Sales 2,280	Sales 2,400	Sales 2,520	Sales 2,640	
		-10%	-5%	0%	+5%	+10%	
Capex 405	-10%	(1,593)	448	2,489	4,531	6,572	
Capex 428	-5%	(1,863)	179	2,220	4,261	6,303	
Capex 450	0%	(2,132)	(91)	1,951	3,992	6,034	
Capex 473	+5%	(2,402)	(360)	1,681	3,723	5,764	
Capex 495	+10%	(2,671)	(629)	1,412	3,453	5,495	

D. BREAK-EVEN VALUES (NPV = 0, everything else at Base Case)						
Driver	Base Case value	Break-even value	Change needed	Headroom	Flex helper	
Mature sales per store (£'000)	2,400	2,285	-4.8%	4.8%	-4.8%	
Capex per store (£'000)	450	613	+36.2%	36.2%	+36.2%	
Cost of goods sold (share of sales)	71.50%	72.74%	+1.2%	1.2%	+1.2%	
Sales taken from existing stores	12.0%	15.8%	+3.8%	3.8%	+3.8%	
Discount rate at break-even (the Base Case IRR)	8.98%	13.74%	+4.8%	4.8%		

NPV moves in a straight line with each of these four drivers, so two model runs fix the break-even exactly. Ramp and growth are not straight line, so they are left out.

Tesco (original company)

Tesco (original company)



Sensitivity engine

Each block re-runs the Base Case with the flex values shown in its first two rows. The Sensitivity sheet reads the NPV at the foot of each block. Nothing here needs editing.

Year	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Base Case (no flex)											
<i>Flex values</i>	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,212	(303)	(475)	(477)	(479)	(443)	(443)	(443)	(443)	(442)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	473	975	1,585	1,680	1,684	1,575	1,576	1,576	1,574	2,860
NPV (£'000) and IRR	1,951	13.7%									
Sales per store, adverse											
<i>Flex values</i>	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	-10.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	24,300	30,404	33,709	34,383	35,071	35,772	36,488	37,217	37,962	38,721
Incremental EBITDA	0	(553)	702	1,306	1,298	1,287	1,124	1,108	1,089	1,068	1,043
Corporation Tax	0	1,368	(108)	(259)	(257)	(254)	(213)	(210)	(205)	(199)	(193)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(729)	(183)	(99)	(20)	(21)	(21)	(21)	(22)	(22)	1,139
Free cash flow	(7,350)	86	411	948	1,021	1,012	889	877	863	846	1,989
NPV (£'000) and IRR	(2,132)	3.1%									
Sales per store, favourable											
<i>Flex values</i>	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	10.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	29,700	37,161	41,200	42,024	42,864	43,722	44,596	45,488	46,398	47,326
Incremental EBITDA	0	693	2,262	3,035	3,061	3,086	2,959	2,979	2,998	3,015	3,029
Corporation Tax	0	1,057	(498)	(691)	(698)	(704)	(672)	(677)	(682)	(686)	(690)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(891)	(224)	(121)	(25)	(25)	(26)	(26)	(27)	(27)	1,392
Free cash flow	(7,350)	859	1,540	2,223	2,339	2,357	2,261	2,276	2,289	2,301	3,731
NPV (£'000) and IRR	6,034	22.5%									

Sales taken from existing stores, adverse

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	0.0%	5.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	(315)	1,001	1,637	1,635	1,631	1,475	1,466	1,455	1,440	1,423
Corporation Tax	0	1,309	(183)	(342)	(341)	(340)	(301)	(299)	(296)	(293)	(288)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	184	614	1,185	1,271	1,268	1,150	1,143	1,134	1,123	2,400
NPV (£'000) and IRR	(604)	7.4%									

Sales taken from existing stores, favourable

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	0.0%	-5.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	455	1,963	2,704	2,724	2,742	2,608	2,621	2,633	2,642	2,649
Corporation Tax	0	1,116	(423)	(609)	(614)	(618)	(584)	(588)	(591)	(593)	(595)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	761	1,337	1,986	2,088	2,101	2,000	2,010	2,018	2,025	3,320
NPV (£'000) and IRR	4,505	19.5%									

Staff costs, adverse

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	10.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	(300)	1,099	1,774	1,769	1,762	1,602	1,589	1,573	1,554	1,532
Corporation Tax	0	1,305	(207)	(376)	(375)	(373)	(333)	(330)	(326)	(321)	(315)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	195	688	1,288	1,372	1,366	1,246	1,235	1,223	1,208	2,482
NPV (£'000) and IRR	(91)	8.7%									

Staff costs, favourable

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	-10.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	440	1,865	2,567	2,590	2,611	2,481	2,499	2,515	2,529	2,541
Corporation Tax	0	1,120	(399)	(574)	(580)	(585)	(553)	(557)	(561)	(565)	(568)

Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	750	1,263	1,883	1,987	2,003	1,905	1,918	1,929	1,939	3,238
NPV (£'000) and IRR	3,992	18.4%									

Like-for-like sales growth, adverse

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	-1.0%			
Revenue	0	27,000	33,451	36,724	37,091	37,462	37,836	38,215	38,597	38,983	39,373
Incremental EBITDA	0	70	1,405	2,002	1,923	1,839	1,600	1,507	1,408	1,304	1,194
Corporation Tax	0	1,212	(284)	(433)	(413)	(392)	(333)	(309)	(284)	(258)	(231)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(194)	(98)	(11)	(11)	(11)	(11)	(11)	(12)	1,169
Free cash flow	(7,350)	473	928	1,471	1,499	1,436	1,257	1,186	1,112	1,034	2,132
NPV (£'000) and IRR	337	9.9%									

Like-for-like sales growth, favourable

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	1.0%			
Revenue	0	27,000	34,114	38,192	39,338	40,518	41,734	42,986	44,275	45,604	46,972
Incremental EBITDA	0	70	1,558	2,341	2,442	2,544	2,500	2,608	2,718	2,832	2,948
Corporation Tax	0	1,212	(322)	(518)	(543)	(569)	(557)	(584)	(612)	(640)	(669)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(213)	(122)	(34)	(35)	(36)	(38)	(39)	(40)	1,368
Free cash flow	(7,350)	473	1,023	1,701	1,864	1,940	1,906	1,986	2,068	2,151	3,646
NPV (£'000) and IRR	3,646	17.1%									

Cost of goods sold, adverse

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	1.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	(168)	1,185	1,841	1,843	1,844	1,692	1,687	1,680	1,670	1,658
Corporation Tax	0	1,272	(229)	(393)	(393)	(393)	(355)	(354)	(352)	(350)	(347)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	294	753	1,338	1,428	1,427	1,313	1,309	1,303	1,295	2,576
NPV (£'000) and IRR	373	9.9%									

Cost of goods sold, favourable

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
<i>Flex values</i>	0.0%	-1.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	308	1,779	2,500	2,516	2,529	2,391	2,401	2,408	2,413	2,415
Corporation Tax	0	1,153	(377)	(558)	(561)	(565)	(530)	(533)	(534)	(536)	(536)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	651	1,198	1,833	1,932	1,942	1,837	1,844	1,849	1,852	3,144
NPV (£'000) and IRR	3,528	17.3%									

Rent, rates and occupancy, adverse

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
<i>Flex values</i>	0.0%	0.0%	0.0%	10.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	(176)	1,233	1,920	1,926	1,930	1,768	1,767	1,765	1,759	1,751
Corporation Tax	0	1,274	(241)	(412)	(414)	(415)	(374)	(374)	(374)	(372)	(370)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	288	789	1,397	1,490	1,492	1,370	1,369	1,367	1,362	2,646
NPV (£'000) and IRR	689	10.7%									

Rent, rates and occupancy, favourable

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
<i>Flex values</i>	0.0%	0.0%	0.0%	-10.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	316	1,730	2,422	2,433	2,443	2,315	2,320	2,323	2,324	2,321
Corporation Tax	0	1,151	(365)	(538)	(541)	(543)	(511)	(513)	(513)	(513)	(513)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	657	1,162	1,774	1,870	1,877	1,780	1,784	1,786	1,785	3,074
NPV (£'000) and IRR	3,212	16.7%									

Year 1 and 2 sales ramp, adverse

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	-10.0%	0.0%			
Revenue	0	23,400	30,110	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	(761)	634	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036

Corporation Tax	0	1,420	(91)	(475)	(477)	(479)	(443)	(443)	(443)	(443)	(442)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(702)	(201)	(220)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	(43)	342	1,475	1,680	1,684	1,575	1,576	1,576	1,574	2,860
NPV (£'000) and IRR	859	11.0%									

Year 1 and 2 sales ramp, favourable

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	10.0%	0.0%			
Revenue	0	30,600	36,720	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	901	2,160	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,005	(472)	(475)	(477)	(479)	(443)	(443)	(443)	(443)	(442)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(918)	(184)	(22)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	988	1,504	1,674	1,680	1,684	1,575	1,576	1,576	1,574	2,860
NPV (£'000) and IRR	2,936	16.6%									

Capex per store, adverse

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	10.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,320	(296)	(468)	(471)	(472)	(436)	(437)	(437)	(436)	(435)
Capex and pre-opening	(8,025)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(8,025)	581	982	1,592	1,687	1,691	1,582	1,583	1,583	1,580	2,867
NPV (£'000) and IRR	1,412	12.2%									

Capex per store, favourable

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	-10.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,104	(310)	(482)	(484)	(486)	(450)	(450)	(450)	(450)	(448)
Capex and pre-opening	(6,675)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(6,675)	365	969	1,579	1,673	1,678	1,568	1,570	1,569	1,567	2,853
NPV (£'000) and IRR	2,489	15.4%									

Grid, capex -10%, sales -10%*Flex values*

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	-10.0%	0.0%	0.0%	0.0%	-10.0%	0.0%	0.0%	0.0%			
Revenue	0	24,300	30,404	33,709	34,383	35,071	35,772	36,488	37,217	37,962	38,721
Incremental EBITDA	0	(553)	702	1,306	1,298	1,287	1,124	1,108	1,089	1,068	1,043
Corporation Tax	0	1,260	(115)	(266)	(264)	(261)	(220)	(216)	(212)	(206)	(200)
Capex and pre-opening	(6,675)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(729)	(183)	(99)	(20)	(21)	(21)	(21)	(22)	(22)	1,139
Free cash flow	(6,675)	(22)	404	941	1,014	1,006	883	870	856	839	1,982
NPV (£'000) and IRR	(1,593)	4.3%									

Grid, capex -10%, sales -5%*Flex values*

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	-5.0%	0.0%	0.0%	0.0%	-10.0%	0.0%	0.0%	0.0%			
Revenue	0	25,650	32,093	35,582	36,293	37,019	37,760	38,515	39,285	40,071	40,872
Incremental EBITDA	0	(241)	1,092	1,739	1,739	1,737	1,583	1,576	1,567	1,555	1,540
Corporation Tax	0	1,182	(212)	(374)	(374)	(373)	(335)	(333)	(331)	(328)	(324)
Capex and pre-opening	(6,675)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(770)	(193)	(105)	(21)	(22)	(22)	(23)	(23)	(24)	1,202
Free cash flow	(6,675)	171	687	1,260	1,344	1,342	1,225	1,220	1,213	1,203	2,418
NPV (£'000) and IRR	448	10.2%									

Grid, capex -10%, sales +0%*Flex values*

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	0.0%	0.0%	0.0%	0.0%	-10.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,104	(310)	(482)	(484)	(486)	(450)	(450)	(450)	(450)	(448)
Capex and pre-opening	(6,675)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(6,675)	365	969	1,579	1,673	1,678	1,568	1,570	1,569	1,567	2,853
NPV (£'000) and IRR	2,489	15.4%									

Grid, capex -10%, sales +5%*Flex values*

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	5.0%	0.0%	0.0%	0.0%	-10.0%	0.0%	0.0%	0.0%			
Revenue	0	28,350	35,472	39,327	40,114	40,916	41,734	42,569	43,420	44,289	45,174

Incremental EBITDA	0	382	1,872	2,603	2,621	2,636	2,500	2,512	2,521	2,528	2,533
Corporation Tax	0	1,027	(407)	(590)	(594)	(598)	(564)	(567)	(570)	(571)	(572)
Capex and pre-opening	(6,675)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(851)	(214)	(116)	(24)	(24)	(25)	(25)	(26)	(26)	1,329
Free cash flow	(6,675)	558	1,251	1,897	2,003	2,014	1,911	1,919	1,926	1,931	3,289
NPV (£'000) and IRR	4,531	20.2%									

Grid, capex -10%, sales +10%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	10.0%	0.0%	0.0%	0.0%	-10.0%	0.0%	0.0%	0.0%			
Revenue	0	29,700	37,161	41,200	42,024	42,864	43,722	44,596	45,488	46,398	47,326
Incremental EBITDA	0	693	2,262	3,035	3,061	3,086	2,959	2,979	2,998	3,015	3,029
Corporation Tax	0	949	(505)	(698)	(705)	(711)	(679)	(684)	(689)	(693)	(697)
Capex and pre-opening	(6,675)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(891)	(224)	(121)	(25)	(25)	(26)	(26)	(27)	(27)	1,392
Free cash flow	(6,675)	751	1,533	2,216	2,332	2,350	2,254	2,269	2,283	2,295	3,725
NPV (£'000) and IRR	6,572	24.7%									

Grid, capex -5%, sales -10%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	-10.0%	0.0%	0.0%	0.0%	-5.0%	0.0%	0.0%	0.0%			
Revenue	0	24,300	30,404	33,709	34,383	35,071	35,772	36,488	37,217	37,962	38,721
Incremental EBITDA	0	(553)	702	1,306	1,298	1,287	1,124	1,108	1,089	1,068	1,043
Corporation Tax	0	1,314	(111)	(262)	(260)	(258)	(217)	(213)	(208)	(203)	(197)
Capex and pre-opening	(7,013)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(729)	(183)	(99)	(20)	(21)	(21)	(21)	(22)	(22)	1,139
Free cash flow	(7,013)	32	408	945	1,017	1,009	886	874	859	843	1,985
NPV (£'000) and IRR	(1,863)	3.7%									

Grid, capex -5%, sales -5%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	-5.0%	0.0%	0.0%	0.0%	-5.0%	0.0%	0.0%	0.0%			
Revenue	0	25,650	32,093	35,582	36,293	37,019	37,760	38,515	39,285	40,071	40,872
Incremental EBITDA	0	(241)	1,092	1,739	1,739	1,737	1,583	1,576	1,567	1,555	1,540
Corporation Tax	0	1,236	(209)	(371)	(371)	(370)	(332)	(330)	(328)	(325)	(321)
Capex and pre-opening	(7,013)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(770)	(193)	(105)	(21)	(22)	(22)	(23)	(23)	(24)	1,202
Free cash flow	(7,013)	225	690	1,263	1,347	1,345	1,229	1,223	1,216	1,207	2,421

NPV (£'000) and IRR

179

9.5%

Grid, capex -5%, sales +0%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	-5.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,158	(306)	(479)	(481)	(483)	(446)	(447)	(447)	(446)	(445)
Capex and pre-opening	(7,013)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,013)	419	972	1,582	1,676	1,681	1,572	1,573	1,573	1,570	2,857
NPV (£'000) and IRR	2,220	14.6%									

Grid, capex -5%, sales +5%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	5.0%	0.0%	0.0%	0.0%	-5.0%	0.0%	0.0%	0.0%			
Revenue	0	28,350	35,472	39,327	40,114	40,916	41,734	42,569	43,420	44,289	45,174
Incremental EBITDA	0	382	1,872	2,603	2,621	2,636	2,500	2,512	2,521	2,528	2,533
Corporation Tax	0	1,081	(404)	(587)	(591)	(595)	(561)	(564)	(566)	(568)	(569)
Capex and pre-opening	(7,013)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(851)	(214)	(116)	(24)	(24)	(25)	(25)	(26)	(26)	1,329
Free cash flow	(7,013)	612	1,254	1,901	2,006	2,017	1,915	1,923	1,929	1,934	3,292
NPV (£'000) and IRR	4,261	19.2%									

Grid, capex -5%, sales +10%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	10.0%	0.0%	0.0%	0.0%	-5.0%	0.0%	0.0%	0.0%			
Revenue	0	29,700	37,161	41,200	42,024	42,864	43,722	44,596	45,488	46,398	47,326
Incremental EBITDA	0	693	2,262	3,035	3,061	3,086	2,959	2,979	2,998	3,015	3,029
Corporation Tax	0	1,003	(501)	(695)	(701)	(707)	(676)	(681)	(685)	(690)	(693)
Capex and pre-opening	(7,013)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(891)	(224)	(121)	(25)	(25)	(26)	(26)	(27)	(27)	1,392
Free cash flow	(7,013)	805	1,537	2,219	2,335	2,353	2,257	2,272	2,286	2,298	3,728
NPV (£'000) and IRR	6,303	23.6%									

Grid, capex +0%, sales -10%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	-10.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			

Revenue	0	24,300	30,404	33,709	34,383	35,071	35,772	36,488	37,217	37,962	38,721
Incremental EBITDA	0	(553)	702	1,306	1,298	1,287	1,124	1,108	1,089	1,068	1,043
Corporation Tax	0	1,368	(108)	(259)	(257)	(254)	(213)	(210)	(205)	(199)	(193)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(729)	(183)	(99)	(20)	(21)	(21)	(21)	(22)	(22)	1,139
Free cash flow	(7,350)	86	411	948	1,021	1,012	889	877	863	846	1,989
NPV (£'000) and IRR	(2,132)	3.1%									

Grid, capex +0%, sales -5%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	-5.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	25,650	32,093	35,582	36,293	37,019	37,760	38,515	39,285	40,071	40,872
Incremental EBITDA	0	(241)	1,092	1,739	1,739	1,737	1,583	1,576	1,567	1,555	1,540
Corporation Tax	0	1,290	(206)	(367)	(367)	(367)	(328)	(326)	(324)	(321)	(317)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(770)	(193)	(105)	(21)	(22)	(22)	(23)	(23)	(24)	1,202
Free cash flow	(7,350)	279	693	1,267	1,350	1,348	1,232	1,227	1,219	1,210	2,424
NPV (£'000) and IRR	(91)	8.7%									

Grid, capex +0%, sales +0%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,212	(303)	(475)	(477)	(479)	(443)	(443)	(443)	(443)	(442)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	473	975	1,585	1,680	1,684	1,575	1,576	1,576	1,574	2,860
NPV (£'000) and IRR	1,951	13.7%									

Grid, capex +0%, sales +5%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	5.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	28,350	35,472	39,327	40,114	40,916	41,734	42,569	43,420	44,289	45,174
Incremental EBITDA	0	382	1,872	2,603	2,621	2,636	2,500	2,512	2,521	2,528	2,533
Corporation Tax	0	1,135	(400)	(583)	(588)	(592)	(557)	(560)	(563)	(565)	(566)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(851)	(214)	(116)	(24)	(24)	(25)	(25)	(26)	(26)	1,329

Free cash flow	(7,350)	666	1,258	1,904	2,009	2,021	1,918	1,926	1,933	1,938	3,296
NPV (£'000) and IRR	3,992	18.3%									

Grid, capex +0%, sales +10%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
Flex values	10.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	29,700	37,161	41,200	42,024	42,864	43,722	44,596	45,488	46,398	47,326
Incremental EBITDA	0	693	2,262	3,035	3,061	3,086	2,959	2,979	2,998	3,015	3,029
Corporation Tax	0	1,057	(498)	(691)	(698)	(704)	(672)	(677)	(682)	(686)	(690)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(891)	(224)	(121)	(25)	(25)	(26)	(26)	(27)	(27)	1,392
Free cash flow	(7,350)	859	1,540	2,223	2,339	2,357	2,261	2,276	2,289	2,301	3,731
NPV (£'000) and IRR	6,034	22.5%									

Grid, capex +5%, sales -10%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
Flex values	-10.0%	0.0%	0.0%	0.0%	5.0%	0.0%	0.0%	0.0%			
Revenue	0	24,300	30,404	33,709	34,383	35,071	35,772	36,488	37,217	37,962	38,721
Incremental EBITDA	0	(553)	702	1,306	1,298	1,287	1,124	1,108	1,089	1,068	1,043
Corporation Tax	0	1,422	(105)	(256)	(254)	(251)	(210)	(206)	(201)	(196)	(190)
Capex and pre-opening	(7,688)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(729)	(183)	(99)	(20)	(21)	(21)	(21)	(22)	(22)	1,139
Free cash flow	(7,688)	140	414	951	1,024	1,016	893	880	866	849	1,992
NPV (£'000) and IRR	(2,402)	2.5%									

Grid, capex +5%, sales -5%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
Flex values	-5.0%	0.0%	0.0%	0.0%	5.0%	0.0%	0.0%	0.0%			
Revenue	0	25,650	32,093	35,582	36,293	37,019	37,760	38,515	39,285	40,071	40,872
Incremental EBITDA	0	(241)	1,092	1,739	1,739	1,737	1,583	1,576	1,567	1,555	1,540
Corporation Tax	0	1,344	(202)	(364)	(364)	(363)	(325)	(323)	(321)	(318)	(314)
Capex and pre-opening	(7,688)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(770)	(193)	(105)	(21)	(22)	(22)	(23)	(23)	(24)	1,202
Free cash flow	(7,688)	333	697	1,270	1,354	1,352	1,236	1,230	1,223	1,213	2,428
NPV (£'000) and IRR	(360)	8.1%									

Grid, capex +5%, sales +0%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
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<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	5.0%	0.0%	0.0%	0.0%	0.0%		
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,266	(300)	(472)	(474)	(476)	(439)	(440)	(440)	(439)	(438)
Capex and pre-opening	(7,688)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,688)	527	979	1,589	1,683	1,688	1,578	1,580	1,579	1,577	2,863
NPV (£'000) and IRR	1,681	13.0%									

Grid, capex +5%, sales +5%

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
<i>Flex values</i>	5.0%	0.0%	0.0%	0.0%	5.0%	0.0%	0.0%	0.0%			
Revenue	0	28,350	35,472	39,327	40,114	40,916	41,734	42,569	43,420	44,289	45,174
Incremental EBITDA	0	382	1,872	2,603	2,621	2,636	2,500	2,512	2,521	2,528	2,533
Corporation Tax	0	1,189	(397)	(580)	(584)	(588)	(554)	(557)	(559)	(561)	(562)
Capex and pre-opening	(7,688)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(851)	(214)	(116)	(24)	(24)	(25)	(25)	(26)	(26)	1,329
Free cash flow	(7,688)	720	1,261	1,907	2,013	2,024	1,921	1,930	1,936	1,941	3,299
NPV (£'000) and IRR	3,723	17.4%									

Grid, capex +5%, sales +10%

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
<i>Flex values</i>	10.0%	0.0%	0.0%	0.0%	5.0%	0.0%	0.0%	0.0%			
Revenue	0	29,700	37,161	41,200	42,024	42,864	43,722	44,596	45,488	46,398	47,326
Incremental EBITDA	0	693	2,262	3,035	3,061	3,086	2,959	2,979	2,998	3,015	3,029
Corporation Tax	0	1,111	(495)	(688)	(694)	(701)	(669)	(674)	(679)	(683)	(686)
Capex and pre-opening	(7,688)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(891)	(224)	(121)	(25)	(25)	(26)	(26)	(27)	(27)	1,392
Free cash flow	(7,688)	913	1,543	2,226	2,342	2,360	2,264	2,279	2,293	2,305	3,735
NPV (£'000) and IRR	5,764	21.6%									

Grid, capex +10%, sales -10%

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
<i>Flex values</i>	-10.0%	0.0%	0.0%	0.0%	10.0%	0.0%	0.0%	0.0%			
Revenue	0	24,300	30,404	33,709	34,383	35,071	35,772	36,488	37,217	37,962	38,721
Incremental EBITDA	0	(553)	702	1,306	1,298	1,287	1,124	1,108	1,089	1,068	1,043
Corporation Tax	0	1,476	(101)	(252)	(250)	(248)	(207)	(203)	(198)	(193)	(187)
Capex and pre-opening	(8,025)	0	0	0	0	0	0	0	0	0	0

Working capital movement	0	(729)	(183)	(99)	(20)	(21)	(21)	(21)	(22)	(22)	1,139
Free cash flow	(8,025)	194	418	955	1,027	1,019	896	884	869	853	1,996
NPV (£'000) and IRR	(2,671)	2.0%									

Grid, capex +10%, sales -5%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	-5.0%	0.0%	0.0%	0.0%	10.0%	0.0%	0.0%	0.0%			
Revenue	0	25,650	32,093	35,582	36,293	37,019	37,760	38,515	39,285	40,071	40,872
Incremental EBITDA	0	(241)	1,092	1,739	1,739	1,737	1,583	1,576	1,567	1,555	1,540
Corporation Tax	0	1,398	(199)	(360)	(360)	(360)	(321)	(320)	(317)	(314)	(311)
Capex and pre-opening	(8,025)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(770)	(193)	(105)	(21)	(22)	(22)	(23)	(23)	(24)	1,202
Free cash flow	(8,025)	387	700	1,273	1,357	1,355	1,239	1,234	1,226	1,217	2,431
NPV (£'000) and IRR	(629)	7.4%									

Grid, capex +10%, sales +0%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	0.0%	0.0%	0.0%	0.0%	10.0%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,320	(296)	(468)	(471)	(472)	(436)	(437)	(437)	(436)	(435)
Capex and pre-opening	(8,025)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(8,025)	581	982	1,592	1,687	1,691	1,582	1,583	1,583	1,580	2,867
NPV (£'000) and IRR	1,412	12.2%									

Grid, capex +10%, sales +5%

	Sales %	COGS pp	Staff %	Occupancy %	Capex %	Sales lost pp	Ramp pp	Growth pp			
<i>Flex values</i>	5.0%	0.0%	0.0%	0.0%	10.0%	0.0%	0.0%	0.0%			
Revenue	0	28,350	35,472	39,327	40,114	40,916	41,734	42,569	43,420	44,289	45,174
Incremental EBITDA	0	382	1,872	2,603	2,621	2,636	2,500	2,512	2,521	2,528	2,533
Corporation Tax	0	1,243	(394)	(576)	(581)	(585)	(551)	(554)	(556)	(558)	(559)
Capex and pre-opening	(8,025)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(851)	(214)	(116)	(24)	(24)	(25)	(25)	(26)	(26)	1,329
Free cash flow	(8,025)	774	1,264	1,911	2,016	2,027	1,925	1,933	1,939	1,944	3,302
NPV (£'000) and IRR	3,453	16.6%									

Grid, capex +10%, sales +10%*Flex values*

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	10.0%	0.0%	0.0%	0.0%	10.0%	0.0%	0.0%	0.0%			
Revenue	0	29,700	37,161	41,200	42,024	42,864	43,722	44,596	45,488	46,398	47,326
Incremental EBITDA	0	693	2,262	3,035	3,061	3,086	2,959	2,979	2,998	3,015	3,029
Corporation Tax	0	1,165	(491)	(685)	(691)	(697)	(665)	(671)	(675)	(679)	(683)
Capex and pre-opening	(8,025)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(891)	(224)	(121)	(25)	(25)	(26)	(26)	(27)	(27)	1,392
Free cash flow	(8,025)	967	1,547	2,229	2,346	2,363	2,268	2,283	2,296	2,308	3,738
NPV (£'000) and IRR	5,495	20.6%									

Check, sales at break-even*Flex values*

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	-4.8%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%			
Revenue	0	25,710	32,168	35,665	36,378	37,106	37,848	38,605	39,377	40,164	40,968
Incremental EBITDA	0	(228)	1,109	1,758	1,758	1,757	1,603	1,597	1,588	1,576	1,562
Corporation Tax	0	1,287	(210)	(372)	(372)	(372)	(333)	(332)	(329)	(327)	(323)
Capex and pre-opening	(7,350)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(771)	(194)	(105)	(21)	(22)	(22)	(23)	(23)	(24)	1,205
Free cash flow	(7,350)	288	706	1,281	1,365	1,363	1,247	1,242	1,235	1,226	2,444
NPV (£'000) and IRR	0	9.0%									

Check, capex at break-even*Flex values*

	<i>Sales %</i>	<i>COGS pp</i>	<i>Staff %</i>	<i>Occupancy %</i>	<i>Capex %</i>	<i>Sales lost pp</i>	<i>Ramp pp</i>	<i>Growth pp</i>			
	0.0%	0.0%	0.0%	0.0%	36.2%	0.0%	0.0%	0.0%			
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,604	(279)	(451)	(453)	(455)	(418)	(419)	(419)	(418)	(417)
Capex and pre-opening	(9,794)	0	0	0	0	0	0	0	0	0	0
Working capital movement	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(9,794)	864	1,000	1,610	1,704	1,709	1,600	1,601	1,600	1,598	2,885
NPV (£'000) and IRR	0	9.0%									

Tesco (original company)

Tesco (original company)

Model integrity checks

Each line tests the model against an independent calculation. All should read OK.

Check	Result
Base Case, NPV equals the Excel NPV function	OK
Base Case, cumulative cash flow equals the sum of yearly cash flows	OK
Base Case, tax relief claimed equals total capex	OK
Base Case, depreciation charged equals total capex	OK
Base Case, working capital is fully recovered by the end	OK
Upside Case, NPV equals the Excel NPV function	OK
Upside Case, cumulative cash flow equals the sum of yearly cash flows	OK
Upside Case, tax relief claimed equals total capex	OK
Upside Case, depreciation charged equals total capex	OK
Upside Case, working capital is fully recovered by the end	OK
Downside Case, NPV equals the Excel NPV function	OK
Downside Case, cumulative cash flow equals the sum of yearly cash flows	OK
Downside Case, tax relief claimed equals total capex	OK
Downside Case, depreciation charged equals total capex	OK
Downside Case, working capital is fully recovered by the end	OK
Sensitivity engine reproduces the Base Case NPV	OK
Sales break-even gives an NPV of zero	OK
Capex break-even gives an NPV of zero	OK
Scenario probabilities add to 100%	OK
Overall	ALL CHECKS PASS

Tesco (original company)

Tesco (original company)